



DO YOU KNOW?

How does a Credit Card company make money?

Lets understand the business model of Credit card companies



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Let's understand the three types of customers a credit card company has:

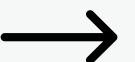
- Transactors (Those who pay their bill on time)
- Revolvers (Those who delay their bill payment)
- EMI (Those who convert their bills into EMIs)



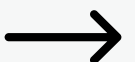
Credit card companies mainly have **two revenue streams**:



- **Interest Income:** Interest income earned on unpaid credit card dues + interest charge on conversion of balance into EMI.
- **Fee Income:** MDR/Interchange Fees (which is charged to merchant when you use your card) + Late Fees (Penalties) + Membership/renewal Fees (Annual fees, joining fees) + Fees on cash withdrawal (when you use credit card to withdraw cash)

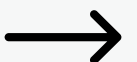
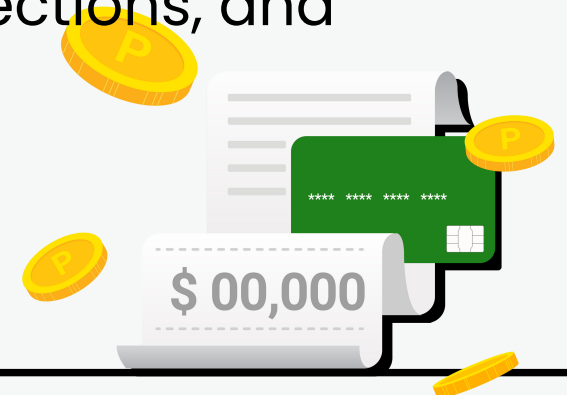


- On transactors, the card companies only earn the MDR since they repay on time each month.
- On Revolvers, the card companies earn the MDR + Late fees/Interest income earned on delayed payments.
- On customers that convert bills into EMI, credit card companies earn MDR + Interest income on bill amount converted into loan. And annual fees would either be charged or not charged equally to all customers. Typically interest income and fee income make up 50:50 revenue.
- In terms of risk, transactors are the least risky. However in terms of profitability, they contribute the lowest. The other 2 categories contribute to the revenues but they are also risky. You need all three categories to maintain portfolio quality and earn revenue!



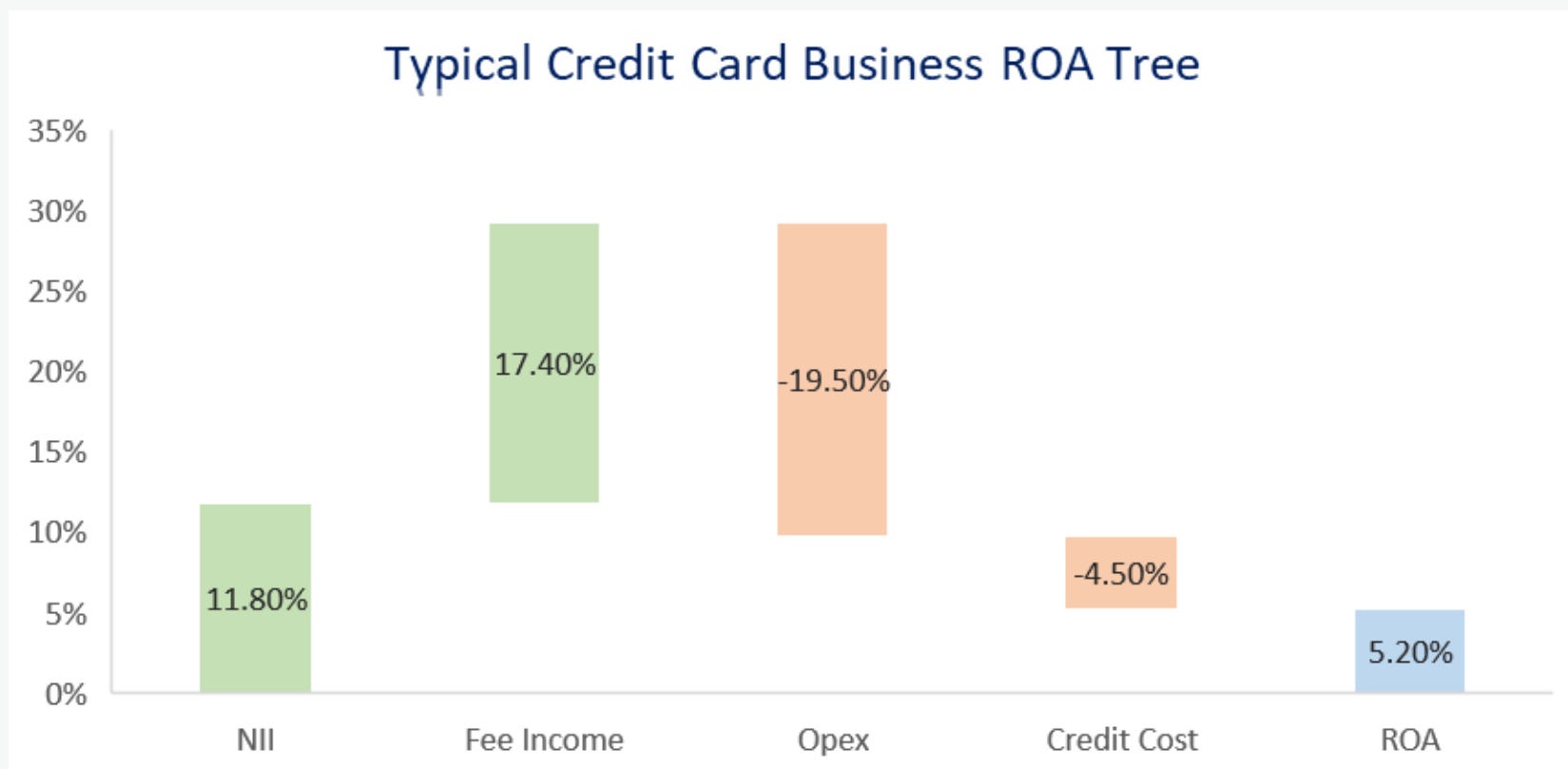
So what are the expenses for credit card companies?

- The credit card business carries high operating expenses compared to other retail segments. It is a combination of marketing-engagement costs, which includes acquisition and marketing costs, rewards redemptions costs, etc.
- Other tech-based costs include costs to payment networks, like VISA and MasterCard, and payment gateways, etc. and other operating costs (including employee, sourcing, on-boarding, collections, and recovery costs).

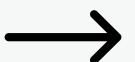


- Along with high opex, these companies are prone to higher delinquencies since credit cards are unsecured in nature. This makes up the credit cost of the business. And finally financial costs like interest on borrowings since money is raw material for any financial company.

This is how the pre-tax ROA (Return on Assets) tree of a typical credit card business typically looks:

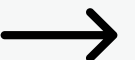


*Source: Nomura research report



So how are **new players** disrupting the market?

- They are able to reduce credit costs by building their own credit models and using analytics to minimize defaults.
- They are able to build scalable technology to reduce operating costs.
- They are able to offer a better experience to customers and give higher discounts and offers to acquire customers. However, high discounts may not be sustainable.





What are the challenges for these players?

These players lack the vintage and scale of operations of older players. So interest costs are higher. And much of the growth has been due to equity funding. Once that funding dries up, the business model is yet to be proved.

